

Capital Buffers

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1

Application and Definitions

1.1

This Part applies to _Article 109 undertakings_ and references to a _firm_ in Chapters 2-4 should, as appropriate, be read to include all _Article 109 undertakings_.

* Future version of 1.1 after 01/01/2027

1.1A

[Deleted.]

1.2

In this Part the following definitions shall apply:

capital conservation buffer

means the amount of common equity tier 1 capital a firm must calculate in accordance with Chapter 2.

combined buffer

means the sum of

1. (a) the capital conservation buffer;
2. (b) the countercyclical capital buffer;
3. (c) the G-SII buffer (if any); and
4. (d) the O-SII buffer (if any).

countercyclical buffer rate

means (in accordance with Part 2 of the Capital Buffers and Macro-prudential Measures Regulations 2025 (SI 2025/653)) the rate:

1. (a) expressed as a percentage of total risk exposure amount set by the FPC; or
2. (b) expressed in terms equivalent to a percentage of total risk exposure amount set by a third country countercyclical buffer authority;

that a firm must apply in order to calculate its countercyclical capital buffer.

countercyclical capital buffer

means the amount of common equity tier 1 capital a firm must calculate in accordance with Chapter 3.

distribution in connection with common equity tier 1 capital

includes:

1. (a) a payment of cash dividends;
2. (b) a distribution of fully or partly paid bonus shares or other capital instruments referred to in Article 26(1)(a) of the CRR;
3. (c) a redemption or purchase by an institution of its own shares or other capital instruments referred to in Article 26(1)(a) of the CRR;
4. (d) a repayment of amounts paid up in connection with capital instruments referred to in Article 26(1)(a) of the CRR; and
5. (e) a distribution of items referred to in points (b) to (e) of article 26(1) of the CRR

FPC

means the _Financial Policy Committee_

MDA

means maximum distributable amount calculated in accordance with 4.3(4).

Pillar 1 requirements

means the own funds requirements under paragraphs (a), (b) and (c) of Article 92(1) of the CRR.

Pillar 2A requirement

means the own funds (if any) a person must at all times hold in excess of its Pillar 1 requirements in accordance with a requirement imposed by the PRA under section 55M of FSMA or a direction given by the PRA under section 192C of FSMA.

relevant credit exposures

means exposures other than those referred to in points (a) to (f) of Article 112 of the CRR that are subject to:

1. (a) the own funds requirements for credit risk under Part Three, Title II of the CRR; or
2. (b) where the exposure is held in the trading book, own funds requirements for specific risk under Part Three, Title IV, Chapter 2 of the CRR or incremental default and migration risk under Part Three, Title IV, Chapter 5 of the CRR; or
3. (c) where the exposure is a securitisation, the own funds requirements under Part Three, Title II, Chapter 5 of the CRR.

third country countercyclical buffer authority

means the authority of a third country empowered by law or regulation with responsibility for setting the countercyclical buffer rate for that third country.

total risk exposure amount

means the total risk exposure amount of a firm calculated in accordance with Article 92(3) of the CRR.

* Future version of 1.2 after 01/01/2027

Unless otherwise defined, any italicised expression used in this Part and in the _CRR_ has the same meaning as in the _CRR_.

2

Capital Conservation Buffer

2.1

A firm must calculate a capital conservation buffer of common equity tier 1 capital equal to 2.5% of its total risk exposure amount.

[Note: Art 129(1) (part) of the _CRD_]

2.2

[Deleted]

3

Countercyclical Capital Buffer

Calculation of the countercyclical capital buffer

3.1

1. (1) A _firm_ must calculate a _countercyclical capital buffer_ of _common equity tier 1 capital_ equal to its _total risk exposure amount_ multiplied by its _institution-specific countercyclical capital buffer rate_.

[Note: Art 130(1) (part) of the _CRD_]

1. (1A) A _firm's_ _institution-specific countercyclical capital buffer rate_ consists of the weighted average of the _countercyclical buffer rates_ that apply to exposures in the jurisdictions where the _firm's_ relevant credit exposures are located, calculated in accordance with (2).

2. (2) In order to calculate the weighted average referred to in (1A), a _firm_ must apply to each applicable _countercyclical buffer rate_ its total _own funds_ requirements for credit risk, specific risk, incremental default and migration risk that relates to the _relevant credit exposures_ in the jurisdiction in question, divided by its total _own funds_ requirements for credit risk, specific risk, incremental default and migration risk that relates to all of its _relevant credit exposures_.

3. (3) For the purposes of (2), a _firm_ must calculate its total _own funds_ requirement for credit risk, specific risk, incremental default and migration risk in accordance with Part Three, Titles II and IV of the _CRR_.

4. (4) The _countercyclical buffer rate_ for an exposure located in the _UK_ is the rate set by the _FPC_ for the _UK_.

5. (5) [Deleted.]

6. (6) The _countercyclical buffer rate_ for an exposure located in a _third country_ is the rate set by the _FPC_ for that jurisdiction.

7. (7) If the _FPC_ has not set a rate for a _third country_ , the _countercyclical buffer rate_ for an exposure located in that jurisdiction is:

8. (8) If the _FPC_ has not set a rate for a _third country_ and either there is no _third country countercyclical buffer authority_ for that country or the authority has not set a rate for that jurisdiction, the _countercyclical buffer rate_ for an exposure located in that jurisdiction is zero.

9. (9) If the rate for the _UK_ is increased, that increase takes effect from the date specified by the _FPC_.

10. (10) [Deleted.]

11. (11) If the rate for a _third country_ is increased by the _FPC_, that increase takes effect from the date specified by the _FPC_.
12. (12) If the _FPC_ does not set a rate for a _third country_ and the rate for that _third country_ is increased by the _third country countercyclical buffer authority_ for that jurisdiction, subject to (7)(b) that increase takes effect from:
13. (13) If a rate is reduced, that reduction takes effect immediately.

[Note: Art 140 of the _CRD_.]

* Future version of 3.1 after 01/01/2027

3.2

[Deleted.]

4

Capital Conservation Measures

Combined buffer

4.1

A firm does not meet the combined buffer if the common equity tier 1 capital maintained by the firm which is not used to meet the Pillar 1 requirements or any Pillar 2A requirement does not meet the combined buffer.

[Note: Art 128 (part) and and Art 141a of the _CRD_]

4.2

[Deleted]

4.3

1. (1) A _firm_ that does not meet the _combined buffer_ must:

1. (a) calculate the _MDA_ in accordance with (4); and
2. (b) report the _MDA_ to the _PRA_ in writing no later than 5 working days after the _firm_ identified that it did not meet the _combined buffer_.

2. (2) A _firm_ that does not meet the _combined buffer_ must not undertake any of the following actions before it has calculated the _MDA_ :

1. (a) make a _distribution in connection with common equity tier 1 capital_ ;
2. (b) create an obligation to pay variable remuneration or _discretionary pension benefits_ or pay variable remuneration or _discretionary pension benefits_ if the obligation to pay was created at a time when the _firm_ did not meet the _combined buffer_ ; and
3. (c) make payments on _additional tier 1 instruments_.

3. (3) If a _firm_ does not meet the _combined buffer_ , it must not distribute more than the _MDA_ calculated in accordance with (4) through any action referred to in points (a) to (c) of (2).

4. (4) A _firm_ must calculate the _MDA_ by multiplying the sum calculated in accordance with (5) by the factor determined in accordance with (6). The _MDA_ shall be reduced by any amount resulting from any of the actions referred to in point (a), (b) or (c) of (2).

5. (5) The sum to be multiplied in accordance with (4) shall be the sum of the profits earned in each of the past four calendar quarters less, in each case:

1. (a) any distributions of profits or payments resulting from the actions referred to in points (a), (b) or (c) of (2), or

2. (b) amounts which would be payable by tax if the undistributed profits of the past four calendar quarters were to be retained.

6. (6) The factor referred to in (4) shall be determined as follows:

1. (a) if the common equity tier 1 capital maintained by the firm which is not used to meet any of the Pillar 1 requirements or any Pillar 2A requirement is within the first (that is, the lowest) quartile of the combined buffer, the factor shall be 0;

2. (b) if the common equity tier 1 capital maintained by the firm which is not used to meet any of the Pillar 1 requirements or any Pillar 2A requirement is within the second quartile of the combined buffer, the factor shall be 0.2;

3. (c) if the common equity tier 1 capital maintained by the firm which is not used to meet any of the Pillar 1 requirements or any Pillar 2A requirement is within the third quartile of the combined buffer, the factor shall be 0.4; and

4. (d) if the common equity tier 1 capital maintained by the firm which is not used to meet any of the Pillar 1 requirements or any Pillar 2A requirement is within the fourth (that is, the highest) quartile of the combined buffer, the factor shall be 0.6.

7. (7) A firm must calculate the lower and upper bounds of each quartile of the combined buffer as follows:

$$\text{Lower bound of quartile} = \frac{\text{Combined buffer}}{4} \times \left(Q_{\{n\}} - 1 \right)$$

$$\text{Upper bound of quartile} = \frac{\text{Combined buffer}}{4} \times \left(Q_{\{n\}} \right)$$

"Q_n" indicates the ordinal number of the quartile concerned.

1. (8) The restrictions imposed by this rule only apply to payments that result in a reduction of common equity tier 1 capital or in a reduction of profits, and where a suspension of payment or failure to pay does not constitute an event of default or a condition for the commencement of proceedings for an order for the appointment of a liquidator or administrator of the firm.

2. (9) If a firm does not meet the combined buffer and intends to distribute any of its distributable profits or undertake an action referred to in points (a), (b) and (c) of (2) it must give the PRA notice of its intention at least one month before the intended date of distribution or action unless there are exceptional circumstances which make it impracticable to give such a period of notice in which event the firm must give as much notice as is practicable in those circumstances. When giving notice a firm must provide the following information:

1. (a) the amount of own funds maintained by the firm, subdivided as follows:

1. (i) common equity tier 1 capital;

2. (ii) additional tier 1 capital; and

3. (iii) tier 2 capital.

2. (b) the amount of its interim and year-end profits;

3. (c) the MDA calculated in accordance with (4);

4. (d) the amount of distributable profits it intends to allocate between the following:

1. (i) dividend payments;

2. (ii) share buybacks;

3. (iii) payments on additional tier 1 instruments; and

4. (iv) the payment of variable remuneration or discretionary pension benefits, whether by creation of a new obligation to pay, or payment pursuant to an obligation to pay created at a time when the firm did not meet its combined buffer.

3. (10) A firm must maintain arrangements to ensure that the amount of distributable profits and the MDA are calculated accurately and must be able to demonstrate that accuracy to the PRA on request.

[Note: Art 141(2) to 141(10) of the CRD]

Capital conservation plan

4.4

When a _firm_ does not meet the _combined buffer_ , it must prepare a capital conservation plan and submit it to the _PRA_ no later than 5 working days after the _firm_ identified that it did not meet the _combined buffer_.

[Note: Art 142(1) of the _CRD_]

4.5

The capital conservation plan must include the following:

1. (1) the _MDA_ ;
2. (2) estimates of income and expenditure and a forecast balance sheet;
3. (3) measures to increase the capital ratios of the _firm_ ; and
4. (4) a plan and timeframe for the increase of _own funds_ with the objective of meeting the _combined buffer_.

[Note: Art 142(2) of the _CRD_]

5

Application on an Individual and Consolidated Basis

Application on an individual basis

5.1

This Part applies to a _firm_ on an individual basis whether or not it also applies to the _firm_ on a _consolidated basis_ or _sub-consolidated basis_.

* Future version of 5.1 after 01/01/2027

5.1A

If this Part applies to a firm on an individual basis, the firm must comply with the rules in this Part to the same extent and in the same manner as it is required to comply with the firm's obligations laid down in Parts Two and Three of the CRR.

* Future version of 5.1A after 01/01/2027

Application on a consolidated basis

5.2

A _firm_ which is a _UK parent institution_ must comply with this Part on the basis of its _consolidated situation_.

* Future version of 5.2 after 01/01/2027

5.3

A _PRA approved parent holding company_ , a _PRA designated parent holding company_ , a _PRA designated intermediate holding company_ or a _PRA designated institution_ responsible for meeting CRR requirements on a _consolidated basis_ must comply with this Part on a _consolidated basis_.

* Future version of 5.3 after 01/01/2027

5.4

[Deleted.]

* Future version of 5.4 after 01/01/2027

5.5

[Deleted.]

* Future version of 5.5 after 01/01/2027

Extent and manner of prudential consolidation

5.6

If this Part applies to an Article 109 undertaking on a consolidated basis or on a sub-consolidated basis, the Article 109 undertaking must carry out consolidation to the same extent and in the same manner as it is required to comply with the obligations laid down in Parts Two and Three of the CRR on a consolidated basis or sub-consolidated basis.

[Note: Art 129(1) (part) and 130(1) (part) of the _CRD_]

* Future version of 5.6 after 01/01/2027